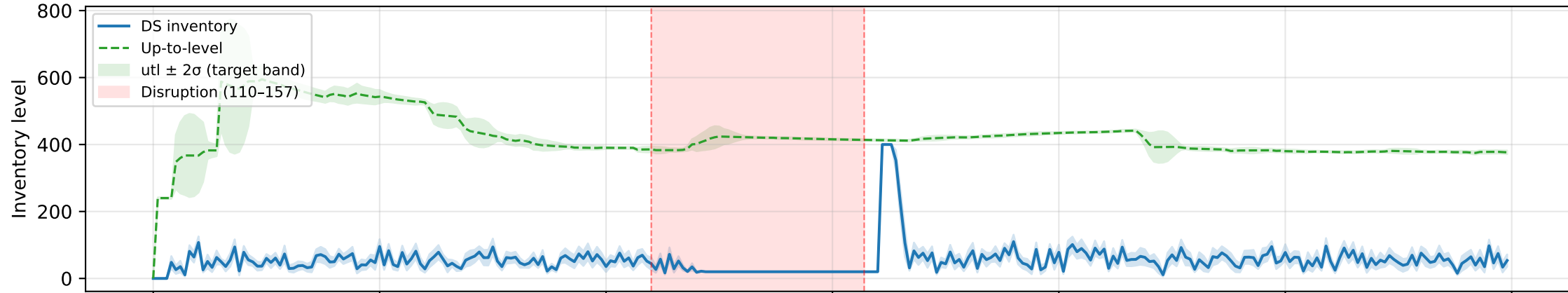
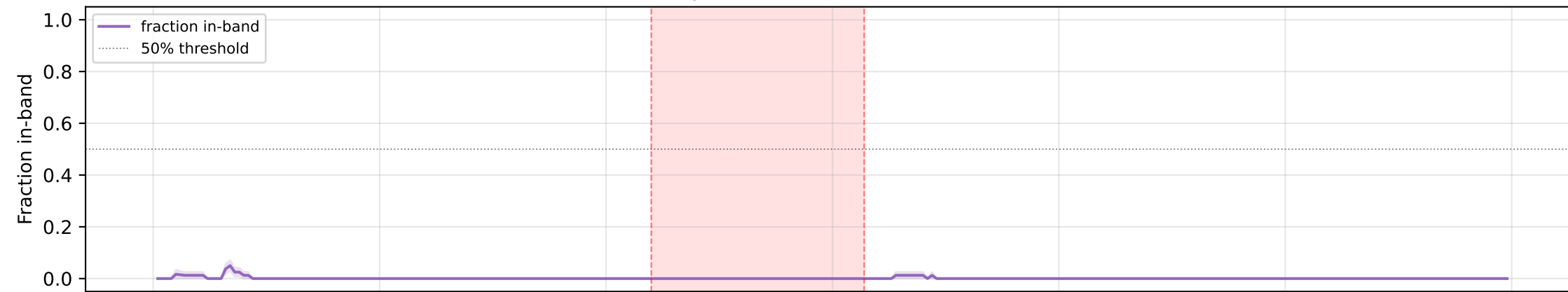


r3 Inputs — Inventory vs Up-to-Level Band Feeds into $r3 = \text{sign}(n_{\text{in}} - n_{\text{out}})$
(range $\{-1, 0, +1\}$, band = $\text{utl} \pm 2\sigma$, 10 eval seeds averaged)

(1) Inventory vs target band — $r3 = +1$ only when inventory inside band



(2) Fraction of window periods inside the band — $r3 = +1$ needs > 0.5



(3) Realized $r3$ over time — range $\{-1, 0, +1\}$

